

Apart from my one house in which I live, and my PF, all my money is in mutual funds. So, what is a mutual fund and why do I like them so much?

Imagine that you are setting out on a long trip. Think about the way you travel – will you drive your own car, take the train or take a flight? If you drive your own car you need to first know how to drive, know the routes, look after the maintenance of the car and your safety yourself. And, of course, get ready for a long hard drive ahead. If you take a train or a flight, you are handing over the responsibility of getting to your destination to the experts, to the railway and the airline whose job it is to ensure you reach safely on time at a reasonable cost.

Think of investing in a similar manner. You can choose to do it yourself. For that you need to have the time, the knowledge and the capacity to do the work of choosing stocks, building a portfolio and managing it. Or you can hand over the job to professionals whose aim in life is to manage your money.

A mutual fund is a way to pool the money of a large number of small investors and hand it over to experts to manage it. Look at it like this: If your monthly saving is Rs 5,000 or Rs 25,000 or even Rs 2 lakhs, trying to find a way to invest it in the market is tough. You have to find the right products, find the time to do the research and then monitor your investments daily.

But if you and thousands of people like you can put your money together, your small contributions can make a very large sum. It can then be handed over to a professional money manager to generate returns. You, as the small investor, could have hired a money manager, but his cost would have been beyond your annual income. When thousands of small investors pool their money, they get the muscle that big money enjoys, in terms of lower cost, because they then buy in bulk, and, of course, the expertise of a fund manager.

But let's understand this creature called a 'mutual fund'. The mutual fund industry in India has a three-part structure. There is a businessman or firm who has the interest to set up a mutual fund. This entity is called a 'sponsor'. There are SEBI rules on who can be a sponsor. The sponsor makes the investment to set up a mutual fund in the hope of making a profit. The sponsor sets up a trust and an asset management company (AMC). The money collected from